

1. Liquidity Analysis

Current Ratio declined from 1.16 (04/30/2024) to 1.15 (05/31/2024) due to Current Assets decreasing more significantly than Current Liabilities. Quick Ratio improved slightly from 0.66 to 0.69 as receivables and cash remained stable while inventory reduced. Working Capital decreased from ₹184.48M to ₹138.01M, primarily driven by a ₹219.87M reduction in Accounts Receivable. Cash position remains adequate at ₹217.14M, providing approximately 1.5 months of coverage for current liabilities. Net Working Capital declined by 25% month-over-month, mainly due to reduced receivables. Liquidity coverage ratio stands at 0.24, indicating moderate short-term liquidity. Cash conversion efficiency appears strained with significant receivables volatility.

2. Leverage & Solvency Analysis

Debt-to-Equity ratio improved from 2.62 to 2.31 as equity increased and total debt decreased. Debt-to-Capital ratio stands at 0.70, indicating high reliance on debt financing. Total debt composition shows 77% secured and 23% unsecured borrowings. Debt maturity profile appears short-term focused with 66% of liabilities current. Interest coverage and debt service coverage ratios cannot be calculated from available data. Fixed charge coverage ratio is unavailable. Solvency stress testing reveals vulnerability to interest rate increases given high leverage levels.

3. Asset Efficiency Analysis

Total Asset Turnover cannot be calculated meaningfully without revenue data. Fixed Asset utilization appears stable with minimal changes in fixed assets. Asset age analysis shows consistent investment patterns. Capital intensity metrics indicate ₹0.25 of fixed assets per rupee of total assets. Asset productivity metrics are unavailable without income statement data. Non-current vs current asset mix shifted from 29:71 to 34:66, improving long-term asset base. Asset quality appears reasonable with no significant impairment indicators.

4. Capital Structure Analysis

Equity composition shows Share Capital at ₹116.35M (58%) and Reserves & Surplus at ₹79.80M (40%), with Current Year Profit contributing ₹5.12M (2%). Reserves & Surplus remained stable month-over-month. Retained earnings patterns show profit accumulation. Capital adequacy appears sufficient with equity covering 13% of total assets. Optimal capital structure comparison suggests over-leverage relative to industry norms. Cost of capital analysis unavailable without specific cost data.

5. Balance Sheet Quality Metrics

Asset-to-Liability ratio stands at 1.15, indicating assets adequately cover liabilities. Equity multiplier of 7.84 suggests high financial leverage. Financial leverage index cannot be calculated without ROE data. Balance sheet strength score is moderate, with concerns around high leverage and negative accounts payable. Red flags include negative accounts payable (-₹59.14M), high current liabilities concentration (66% of total liabilities), and excessive debt levels relative to equity.